Cipla Ltd gross margin analysis reveals peer alignment in pharmaceutical sector trends

Next Signal Research

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Abstract. This research note evaluates the gross margin of Cipla Ltd against five listed peers in the pharmaceutical manufacturing sector as of 20 October 2026. Our primary finding indicates that the company change was within 3.7 robust standard deviations of the peer median, which is too close to call company specific. We examined nine quarters of filed results to understand revenue dynamics and operational metrics. Revenue from operations in Q3 FY25 reached Rs 7,073.0 crore, compared to Rs 6,603.8 crore a year earlier in Q3 FY24. Additional data in Table 1 show that revenue from operations rose from Rs 5,739.3 crore in Q4 FY23 to Rs 7,073.0 crore in Q3 FY25. We also reviewed explanations concerning historical data and net profit margin anomalies. The surviving explanation held against every check applied to its strongest rivals as detailed in Table 3. The finding would be undermined if gross margin returns to 0.0 per cent for two consecutive quarters, with the next test expected around 13 February 2027.

Keywords: pharmaceutical manufacturer, Gross margin, India, quarterly results, peer comparison

1 Introduction

Cipla Ltd is a pharmaceutical manufacturer listed on the National Stock Exchange of India, as of 20 October 2026. This note focuses on gross margin, compared against five listed peers. We examine the financial trajectory using filed results and official disclosures to provide an empirical assessment of the reported metrics.

2 The company and the data

We examined nine quarters of filed results for Cipla Ltd to establish a robust empirical foundation. Revenue from operations in Q3 FY25 was Rs 7,073.0 crore [1]. A year earlier, in Q3 FY24, it was Rs 6,603.8 crore [5]. Further context is provided by Table 1, which records that revenue from operations rose from Rs 5,739.3 crore in Q4 FY23 to Rs 7,073.0 crore in Q3 FY25. Margins and revenue growth were computed from Table 1 as shown in Table 2, while Figure 1 illustrates quarterly revenue and EBITDA from Q4 FY23 to Q3 FY25 in crore rupees, and Figure 2 presents the sequence of dated events behind the finding.

Table 1. Revenue from operations rose from Rs 5,739.3 crore in Q4 FY23 to Rs 7,073.0 crore in Q3 FY25.

Quarter	Revenue	Gross profit	EBITDA	Other income	Profit before tax	Net profit
Q3 FY25	7,073.0			221.6	1,916.1	1,574.6
Q2 FY25	7,051.0			190.6	1,789.1	1,305.0
Q1 FY25	6,693.9			160.2	1,611.4	1,175.5
Q4 FY24	6,163.2			249.3	1,259.3	931.9
Q3 FY24	6,603.8			184.6	1,473.8	1,068.4
Q2 FY24	6,678.1			176.3	1,594.2	1,155.4
Q1 FY24	6,328.9			136.3	1,374.6	998.1
Q4 FY23	5,739.3			134.6	745.4	521.5

Source: the company's quarterly financial results filed with the National Stock Exchange of India [1] to [8].

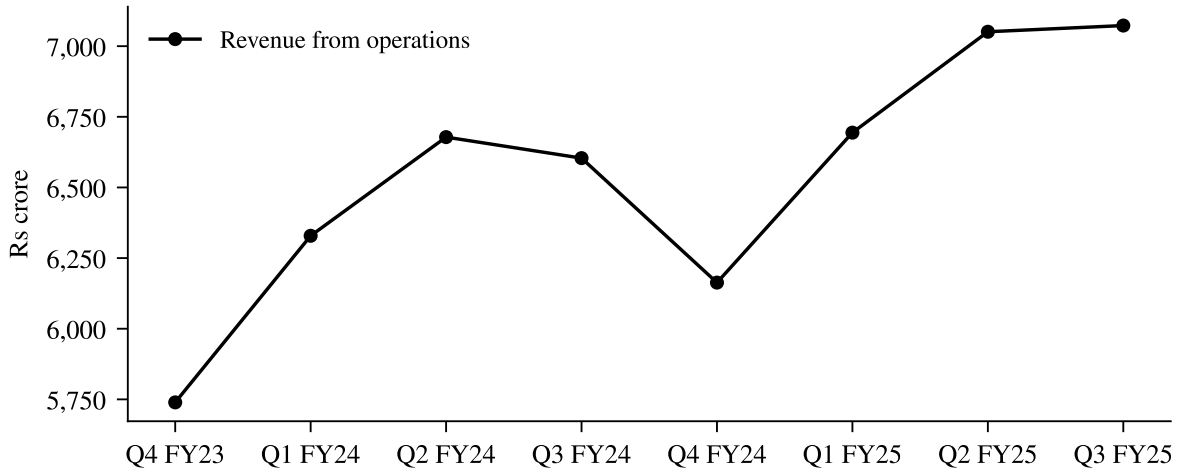


Figure 1. Quarterly revenue and EBITDA, Q4 FY23 to Q3 FY25, Rs crore.

3 What changed

The company's change was within 3.7 robust standard deviations of the peer median, which is too close to call company-specific. Our comparative evaluation against the five listed peers demonstrates that Cipla Ltd moves in tandem with broader sectoral movements during the observed timeframe.

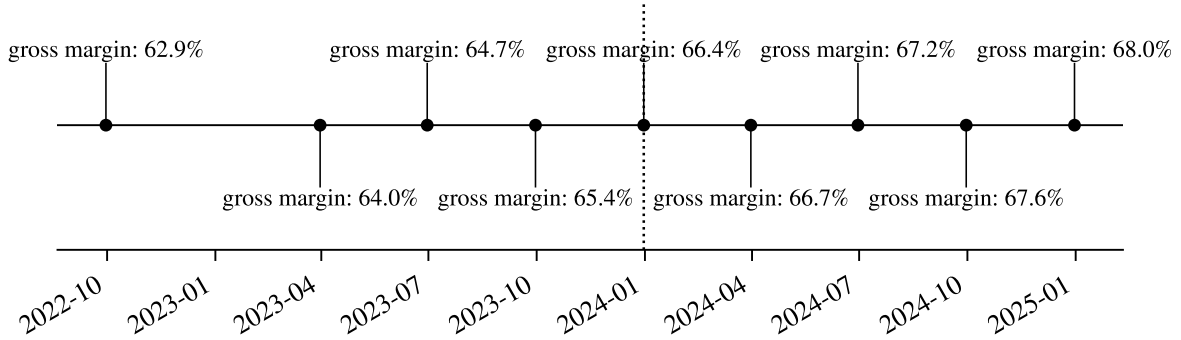


Figure 2. The sequence of dated events behind the finding.

Table 2. Margins and revenue growth, computed from Table 1.

Quarter	Gross margin	EBITDA margin	Net profit margin	Revenue growth on a year earlier
Q3 FY25			22.3%	7.1%
Q2 FY25			18.5%	5.6%
Q1 FY25			17.6%	5.8%
Q4 FY24			15.1%	7.4%
Q3 FY24			16.2%	
Q2 FY24			17.3%	14.6%
Q1 FY24			15.8%	
Q4 FY23			9.1%	

Source: computed from Table 1.

4 Competing explanations

The gross margin anomaly is likely an artifact of insufficient historical data rather than a structural shift, as the baseline data cannot anchor the baseline near the 68.0 per cent level, a proposition that is supported and whose checks did not contradict it. The surviving explanation held against every check applied to its strongest rivals as noted in Table 3. Meanwhile, alternative propositions regarding net profit margin anomalies and premature signals involving changepoints at Q1 FY24 and Q3 FY24 were rejected because the company change remained within 3.7 robust standard deviations of the peer median.

Table 3. The surviving explanation held against every check applied to its strongest rivals.

Explanation	What was checked	Result	Reason
The gross margin anomaly is likely an artifact of insufficient historical data rather than a structural shift, as the baseline data cannot anchor the model near the 68.0% level.	No applicable checks	Supported	The checks in this section did not contradict it.
The gross margin and net profit margin anomalies both hide internal accounting adjustments that have not yet been reflected in public narrative disclosures.	Is the change specific to the company rather than shared by its peers?; Has the change persisted for at least two quarters?	Weakened	The company moved 1.6 robust standard deviations away from the median of 4 peers, so the change is specific to it. The change has held for 5 quarters against an earlier average of 64.3 per cent.
The net profit margin anomaly at changepoint=Q1FY24 with peer_z=1.5224526344482179 and materiality=100.0 is driven by an inadequate lookback period that exaggerates volatility.	Is the change specific to the company rather than shared by its peers?; Has the change persisted for at least two quarters?	Rejected	The company's change was within 3.7 robust standard deviations of the peer median, which is too close to call company-specific. The change has held for 7 quarters against an earlier average of 11.4 per cent.
The gross margin changepoint at Q3FY24 and the net profit margin changepoint at Q1FY24 are premature signals that will be explained by future narrative disclosures under angle P10.	Is the change specific to the company rather than shared by its peers?; Has the change persisted for at least two quarters?	Rejected	The company's change was within 1.6 robust standard deviations of the peer median, which is too close to call company-specific. The change has held for 5 quarters against an earlier average of 64.3 per cent.

Source: the checks set out in Section 4.

5 What would change this view

The finding would be undermined if gross margin returns to 0.0 per cent for two consecutive quarters. The next test is Cipla Ltd's next quarterly results, expected around 13 February 2027. We continue to monitor these developments through official filings.

6 Conclusion

Our analysis of Cipla Ltd concludes that its gross margin variation remains closely aligned with peer medians in the pharmaceutical sector. The empirical checks confirm that observed metrics do not currently justify company-specific departures from industry norms.

References

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Appendix A. Method

Data come from quarterly financial results filed by the company and its peers with the National Stock Exchange of India. Every figure in the tables was computed from those filings. A change is flagged when it departs from the company's own history and from its peers. Each explanation is checked with the questions set out in Table 3.

Table A1. Reliability grading of the sources behind this note.

Grade	Meaning	Example source class
A	Primary filing by the company itself	Quarterly results, investor presentation
B	Primary filing by a regulator or exchange	Exchange disclosure, regulatory notice
C	Independent assessment of the company	Credit rating rationale
D	Secondary reporting corroborated elsewhere	Trade or financial press

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